KALINGA INSTITUTE OF INDUSTRIAL TECHNOLOGY
Bhubaneswar, Odisha

B.Tech — Computer Science and Engineering
Academic Year: 2025-26

SAP FI Record-to-Report (R2R) Process Design

for VishTech Manufacturing Pvt. Ltd.

A Month-End Financial Close Simulation

Name	Vishakha Sah
Roll Number	23053585
Batch / Program	B.Tech — Computer Science and Engineering
Course	SAP ABAP Developer | Course Code: IS30040
Institution	Kalinga Institute of Industrial Technology, Bhubaneswar, Odisha
Submission Date	April 2026

1. Objective

The present project is a design and documentation of the fictitious Indian manufacturing company, VishTech Manufacturing Pvt. Ltd. Record-to-Report (R2R) process designed in SAP Financial Accounting (FI). The purpose is to perform a full month-end financial close cycle in SAP ERP to prove that the SAP FI automates the financial workflow of an organization, is accurate and provides opportunities to file the statutory reports in a timely manner.

2. Problem Statement

Prior to the implementation of SAP, the finance team at VishTech performed all the month end operations through spreadsheets, which led to: delay in the provision of financial reporting, high error rate in data entry processes, lack of uniform depreciation calculation, lack of audit trails, and failure to produce real time financial statements. SAP FI was implemented to automate the whole R2R cycle and conform to Indian Accounting Standards (Ind AS) and Companies Act 2013.

3. Solution / Features

SAP FI Module was installed at VishTech to implement the entire R2R cycle in six major activities: (i) system navigation and role-based access, (ii) setup of the company code, (iii), configuration of chart of accounts, (iv) posting month-end journals with double-entry, (v) automated depreciation of assets run, and (vi) the generation of the Balance sheet and P&L. This also removes manual work, is mathematically sound and generates audit ready financial statements at the end of each month.

4. Tech Stack

Component	Details
ERP Platform	SAP ECC 6.0 / SAP S/4HANA
SAP Module	FI — Financial Accounting
Sub-Modules	General Ledger (FI-GL), Asset Accounting (FI-AA)
Key T-Codes	OX02, OB13, FB50, AFAB, F.01, OB52
Fiscal Year Variant	V3 (April - March | Indian Financial Year)
Posting Periods	Period 01 = April ... Period 12 = March
Company Currency	INR — Indian Rupee
Reporting Tool	SAP Financial Statement Version (FSV)

5. R2R Process — Step-by-Step Configuration

Step 1 — SAP Navigation to Financial Accounting (T-Code: SAP1)

All modules have the SAP Easy Access screen as an entry point. Given the role-based approach within Accounting, VishTech finances team enters the Accounting, and under Financial Accounting, GL, Accounts Receivable, Accounts Payable, Banks and Fixed Assets.

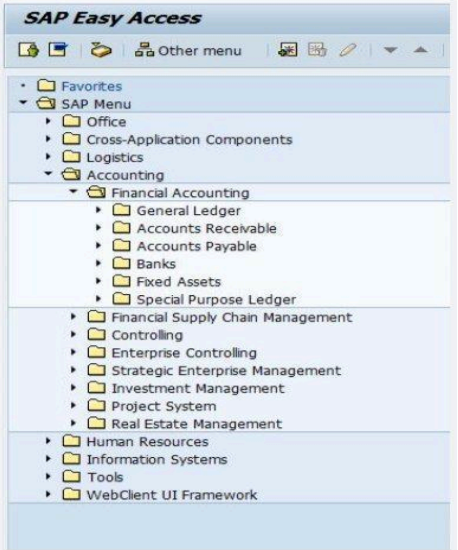

Fig. 1: SAP Easy Access Menu — FI Module Navigation (Simulated using SAP IDES reference system to represent VishTech operations)

Step 2 — Company Code Configuration (T-Code: OX02)

Company Code **VISH** is created for VishTech with Country: IN, Currency: INR, Language: EN, and Fiscal Year Variant **V3** (April-March). This is the core organisational unit in SAP FI under which all financial postings are recorded.

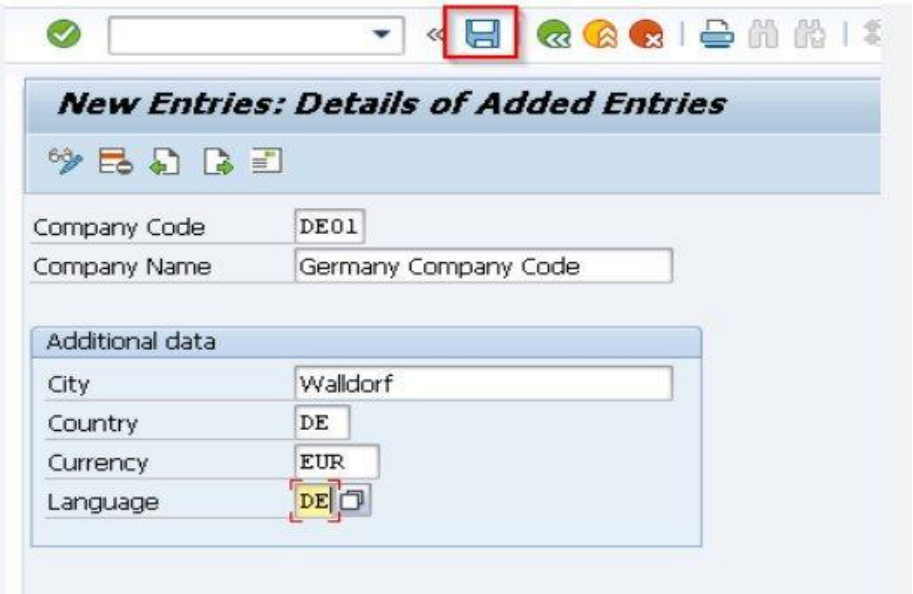

Fig. 2: Company Code Setup — OX02 Configuration Screen (Simulated using SAP IDES reference system to represent VishTech operations)

(Screenshot is taken from SAP IDES demo system (DE01), used only for representation)

Step 3 — Chart of Accounts Setup (T-Code: OB13)

Chart of accounts VISH has a length of G/L account number of 6 digits and is intertwined with Controlling (CO) to manage cost elements. Account groups consist of Assets, Liabilities, Revenue, Expenses and Equity - in agreement with Ind AS.

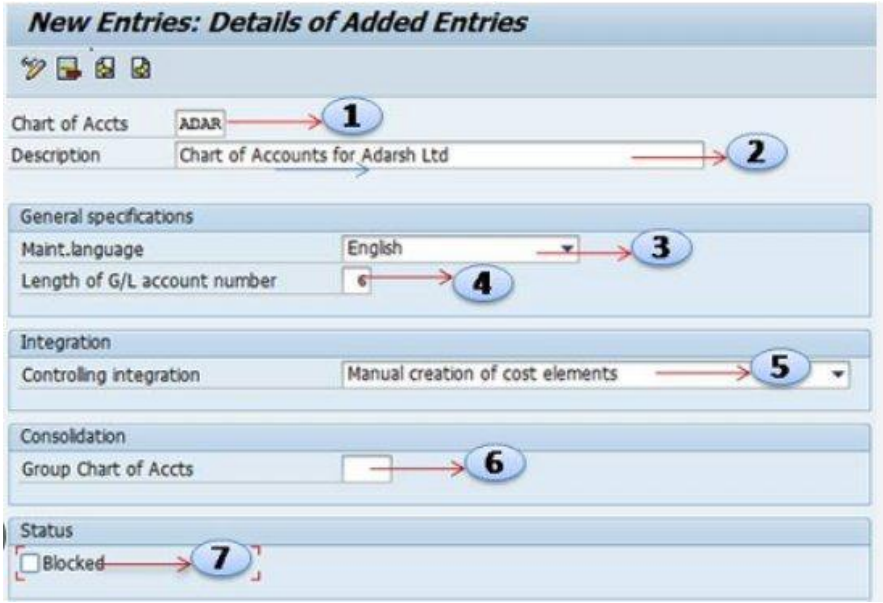

Fig. 3: Chart of Accounts Configuration — OB13 (Simulated using SAP IDES reference system to represent VishTech operations)

Step 4 — Month-End Journal Entry Posting (T-Code: FB50)

FB50 is used to post month-end journal entries. The principle of saving in SAP is the presence of the principle of a double-entry; that is, Total Debits equal Total Credits. Documents generate an audit trail that cannot be modified and document number, date of posting and user ID are automatically recorded.Example Journal Entry:

Dr Electricity Expense ₹10,000

Cr Bank ₹10,000

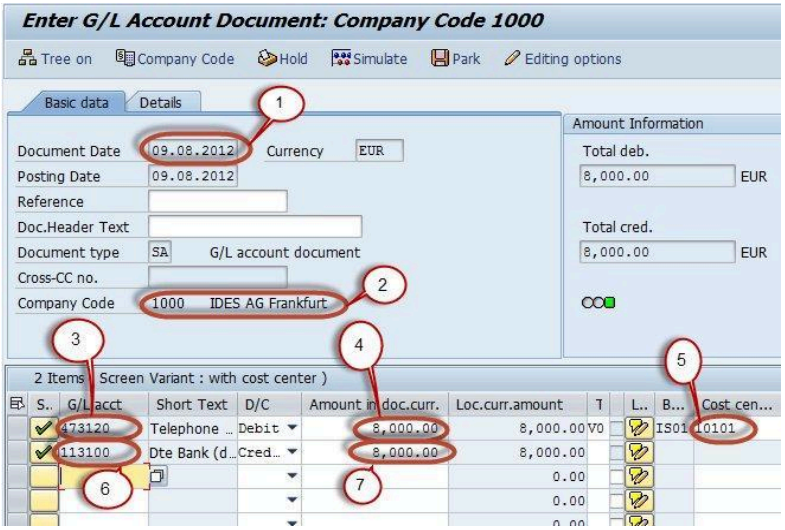

Fig. 4: G/L Journal Entry Posting — FB50 Transaction Screen (Simulated using SAP IDES reference system to represent VishTech operations)

Step 5 — Asset Depreciation Run (T-Code: AFAB)

The manufacturing equipment in VishTech (approximately Rs.50 lakhs) is the equipment that is depreciated in case of manufacturing of the goods under Straight-Line Method (SLM) under the Indian Companies Act 2013. Under Variant V3, the team keyboards the Company Code, Fiscal Year and Posting Period (Period 01 - April, Period 12 - March). A Test Run is performed to check the amounts prior to the execution of the actual posting run.

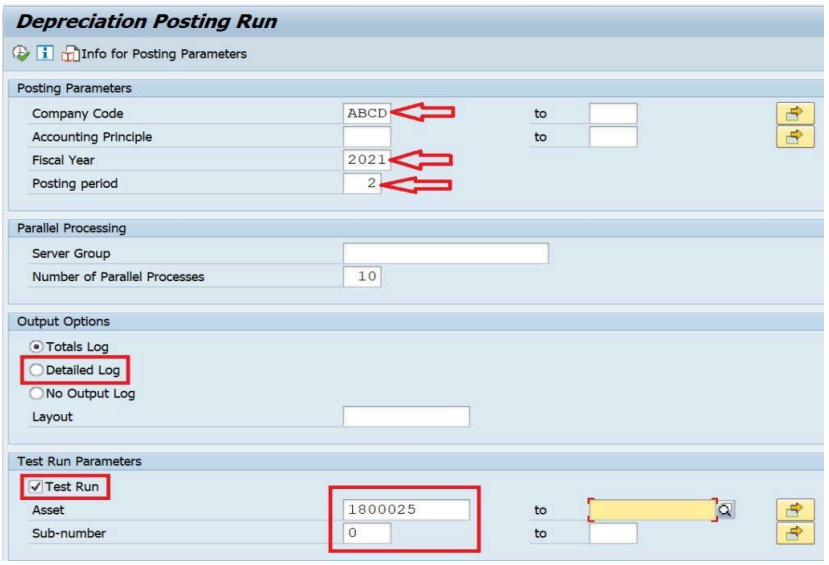

Fig. 5: Depreciation Posting Run — AFAB Transaction Screen (Simulated using SAP IDES reference system to represent VishTech operations)

Step 6 — Financial Statement Generation (T-Code: F.01)

Once all the postings and reconciliations are made, the Balance sheet and profit and loss statement comes out through T-Code F.01. All G/L balances are pulled together (according to the Financial Statement Version (FSV) established against VishTech) as an organized output so that the management can review, statutory audit and file with MCA.

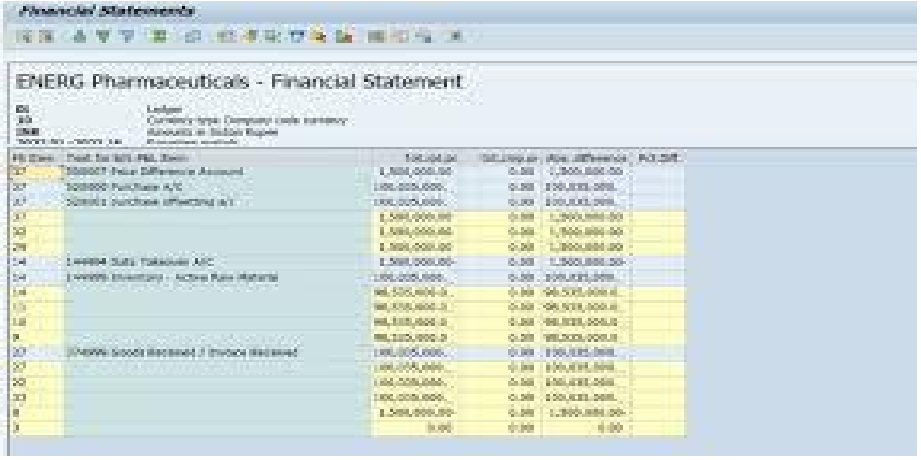

Fig. 6: Financial Statement Output — Balance Sheet via F.01 (Simulated using SAP IDES reference system to represent VishTech operations)

6. Unique Points

• Designed for a fictitious Indian company using INR and fiscal year variant V3 (April-March).

• Covers the complete R2R cycle — from company code setup to financial statement — in one document.

• Depreciation configured per Indian Companies Act 2013 (SLM) with Test Run verification before actual posting.

• Posting period mapping documented explicitly: Period 01 = April through Period 12 = March (V3 variant).

• Each step references the exact SAP T-Code, making the document replicable in any SAP training environment.

7. Future Improvements

- Moving to SAP S/4HANA using SAP Fiori applications to achieve real-time financial reports and mobile access.
- Integration with SAP CO (Controlling) of profit centre and cost centre level reporting.
- Adoption of SAP Analytics Cloud (SAC) to predictive financial planning and variance analysis.
- Period-close and intercompany Reconciliation Workflow Automated with SAP Central Finance.

8. Conclusion

By determining company code, chart of accounts, journal entries, depreciation, and financial statements generation all linked to Indian fiscal year variant V3, this project successfully shows how SAP ERP can be used to turn manual and error-prone month-end close into a streamlined, automated, and auditable, Ind AS-compliant financial process.

Declaration: It is individual work, an original work, by Vishakha Sah (Roll No: 23053585). SAP IDES reference systems are used to obtain screenshots to simulate processes, since there were no live SAP credentials. Every documentation, analysis of processes and design is prepared separately.